Sakar Healthcare Ltd

Concall Tracker · Q2 FY2027 (quarter ended 30 September 2026) · NSE: SAKAR · Report prepared 6 Nov 2026 · Builds on the Q1-2027 report

Not investment advice. Do your own due diligence. An AI-generated reading of the company's earnings-call transcripts and filings.

Plain-word key: Oncology = cancer drugs. Bavla = Sakar's Europe-approved cancer-drug factory near Ahmedabad. CDMO / contract making = making medicines for other drug companies. Marketing authorisation (MA) = a country's permission to sell a specific drug. Site variation = a partner's approval to move production of an already-approved drug to Sakar's plant. API = the active chemical inside a medicine. CEP = a European certificate for an API. EBITDA = operating profit before interest, tax and depreciation.

1. Snapshot

Sakar is a small Gujarat drug maker. Its older business (at Changodar) makes ordinary tablets, liquids and injections, mostly exported to emerging markets. The growth bet is cancer drugs from the Bavla plant, sold three ways: made for big Indian pharma companies, exported through partners like Accord (Intas) and Torrent, and sold abroad under Sakar's own licences. It also makes cancer-drug APIs, some for its own use and a growing amount for sale to other companies.

Number	Value	What it means in plain words
Q2 FY27 sales	₹87 cr, +52% YoY, +19% QoQ	The break-out we were waiting for. Sales had sat at ₹70–73 cr for three quarters. This is a clear step up.
Q2 FY27 operating profit (EBITDA)	₹24 cr, margin 28%	More than double a year ago (+114%). About ₹28 of operating profit on every ₹100 of sales.
Q2 FY27 net profit	₹11 cr, +149%	Up two and a half times on a weak quarter last year, though only a little above June's ₹10 cr.
H1 FY27 sales	₹160 cr, +45%	Half-way to the ₹350 cr full-year figure management signed up to in July. H2 needs about ₹95 cr a quarter.
Q2 cancer-drug sales	~₹50 cr (exports ₹8.2 cr)	Oncology jumped from ₹33 cr in June and is now over half of sales. Direct exports are still only about a sixth of it.
Borrowings	₹46 cr (₹71 cr in Jun, ₹119 cr a year ago)	Debt keeps falling. The business is funding itself.
Market value / P/E	₹2,171 cr / ~51x	Pricey for its size. The market is already paying for the cancer-drug plan.

2. Concall coverage

Quarter	Call date	How it was read
Q2 FY26 to Q4 FY26 (3 calls, the first Sakar ever held)	Nov 2025 to May 2026	Carried forward from the earlier reports
Q1 FY27, the prior boundary	29 Jul 2026	Read in full for the Q1-2027 report
Q2 FY27 (Jul to Sep 2026)	27 Oct 2026	Newly deep-read in full ★

Only the Q2 FY27 call was read in full this time. The backstory comes from the Q1-2027 report. Five calls in total is still a short record, about a year long.

Latest concall highlights · Q2 FY27 (call on 27 Oct 2026)

- **Sales finally broke out.** ₹87 cr, up 52% on the year and 19% on June, after three flat quarters. EBITDA more than doubled to ₹24 cr at a 28% margin.
- **Oncology did the lifting, but with a twist.** Cancer-drug sales were about ₹50 cr, up from ₹33 cr. But about ₹36–37 cr of H1 oncology sales was API sold to other companies, already equal to all of last year. Management says next year it'll use more of that API in-house to protect margins, so this part may not keep growing.
- **Exports are still small.** Oncology exports were ₹8.2 cr (₹6.3 cr in June). About ₹3.5 cr of that came from Sakar's own registrations and the rest from partner contract work. The Bulgaria launch wasn't named, but this is the first time own-licence export revenue has been put at a number. Some partner volume also leaves India as "deemed exports" through Torrent and Intas.
- **Big next-quarter target.** Asked if the company could hit ₹100 cr of quarterly sales: "We are looking forward for that number in the next quarter only." Oncology at ₹190–200 cr for FY27 and ~₹300 cr in FY28 was accepted as achievable.
- **Pipeline counts up again.** 22 marketing authorisations (16 last call): 11 Europe/UK, 6 Latin America, 4 Myanmar, 1 Canada. Accord has 8 of 11 site variations approved, and about six partner products are already commercial. The EU GMP certificate after the latest audit is expected this quarter.

2c. Business mix & capacity

Domestic vs exports (Q2 FY27, per management): Non-cancer business about ₹29 cr export and ₹7.3 cr domestic. Cancer drugs about ₹43 cr domestic (including some deemed exports through partners) and ₹8.2 cr export. Adding up, roughly 40% of company sales leave India directly. The old business is mostly an exporter. The cancer business is still mostly made for Indian companies.
Capacity utilisation: Bavla (cancer drugs) ~26% · Changodar (general) ~36–37% for the half year. There's room to roughly triple cancer-drug output without new plant, so extra sales should drop through to profit. Management repeated that no big capex is needed.
Not disclosed: the finished-dose vs API split for the quarter alone, and which countries the own-registration exports went to.

2d. Since our last report

Builds on the Q1-2027 report (call of 29 Jul 2026). Prior verdicts: **trigger MAYBE (leaning yes)**, **consistency MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger: MAYBE (leaning yes)	Real driver, but sales flat for three quarters and exports tiny	Sales +19% QoQ, oncology +50% QoQ, EBITDA more than doubled YoY	Improving → upgraded
Consistency: MAYBE	Steady story, hard numbers met late	The H2 pick-up they promised showed up early. The 35% margin goal has drifted out by a couple of years. API sales are a larger part of the story than they let on.	Unchanged
Sales stuck at ₹70–75 cr	Next report should check for a break-out	₹87 cr	Confirmed
First own-licence export (Bulgaria)	Slipped twice, now "this quarter"	About ₹3.5 cr of own-registration exports reported. Bulgaria not named. One new own MA "coming very soon" for supply	Started (unconfirmed which market)
Partner exports (Accord, Torrent)	7 site variations, 3 Accord products shipped	Accord 8 of 11 approved, ~6 partner products commercial. Accord potential put at ~₹100 cr a year	Improving
FY27 sales ~₹350 cr	Needed ~₹90 cr a quarter from Q2	₹87 cr in Q2, ₹100 cr targeted for Q3	On-track
Margin ~30%, 35%+ with own API	Target for FY27	28% now, ~30% held. 35% blended needs 15–20 API certificates and "a couple of years"	On-track (35% later)

Verdict change this quarter: the trigger is upgraded to YES because the cancer-drug driver is now plainly in the sales and profit lines, not just the pipeline. Consistency stays MAYBE: they delivered this quarter, but the record is still a year long and it already has a missed full-year target and a launch that slipped twice.

3. Earning-trigger thesis

Is there a real earnings trigger here?

Yes. The Bavla cancer-drug plant is filling up. It's built, paid for and only about a quarter used, so each extra rupee of cancer-drug sales earns more than the old business does. This quarter that showed up in the numbers: oncology rose from ₹33 cr to ~₹50 cr and EBITDA more than doubled on the year. The next legs are already lined up. Accord and Torrent products made at Sakar's site are shipping to Europe, 22 marketing authorisations are in hand with most yet to sell, and own-licence exports have begun in a small way. The caveat is quality. A big piece of the jump is API sold to other companies, which management plans to redirect in-house next year. So FY28 growth has to come from finished cancer drugs, at the ~₹300 cr oncology level management is pointing to.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Oncology at Bavla overall	₹190–200 cr in FY27, ~₹300 cr in FY28. Over 60% of sales in two years	₹50 cr in Q2, ₹85 cr in H1, over half of sales	Now to FY28	Strong. It's visible in the results	↑ improving
Partner site variations (Accord, Torrent)	Accord portfolio worth ~₹100 cr a year on average	8 of 11 Accord approvals. ~6 products commercial	FY27–FY28	Moderate to strong	↑ improving

Own-licence exports	22 MAs, 16 not yet selling. ~₹20–25 cr in FY28, ₹60–70 cr in FY29 (analyst's figures, accepted)	~₹3.5 cr own-registration export in Q2	FY28–FY29	Moderate. It's started, but it's small	↑ from unproven
External oncology API sales	H1 ₹36–37 cr, FY27 double that, then shift to own use	Already equal to all of FY26	FY27	Moderate but temporary by design	New
Own API for margins (backward integration)	Blended ~30% now, 34–35%+ once 15–20 APIs are certified	2 of 7 European certificates	FY28–FY29	Moderate	↓ timeline pushed out
Old non-cancer business	Steady, ~26% margin	~₹36 cr a quarter, mostly exports	Now	Moderate base	Unchanged

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
AGM to Q3 FY26	FY26 sales ₹280 cr	₹252 cr	Missed
Q2 FY26	Margin dip is one-off	26%, 37%, 29%, 28%	Delivered
Q2 FY26 onward	First own-licence European shipment in Q4 FY26	Slipped twice. ~₹3.5 cr of own-registration exports now reported	Late, now started
Q2 FY26 onward	Accord/Intas tech transfer becomes real business	8 of 11 approved, products shipping	Delivered (moving)
Every call	No new capex, keep debt low	Borrowings down to ₹46 cr	Delivered
Jul 2026	Sales pick up from H2, FY27 ~₹350 cr, oncology doubles	₹87 cr in Q2 (early), H1 ₹160 cr, oncology on a ~₹200 cr pace	On-track
Jul 2026	35%+ margins on own-API products	Now framed as a blended goal "a couple of years" away	Drifting later
Oct 2026 (new)	₹100 cr quarterly sales in Q3. Oncology ~₹300 cr in FY28	-	Too early

Narrative drift. The story hasn't changed. It's still a cancer-drug exporter built on a paid-for plant, and the capex discipline is real (debt keeps falling). This quarter they delivered the hard number we said to watch, which counts for something. Two things to keep an eye on. First, the API-sales piece: it's a big part of the oncology jump, and it only became clear because analysts dug for it. Second, the habit of answering yes to analysts' numbers (₹100 cr next quarter, ₹300 cr oncology next year, own-MA revenue) rather than setting their own. The same VP of Strategy fronts every call, and the promoter isn't on them.

5. Bottom line

Durable earning trigger? → YES vs last quarter: upgraded (from MAYBE, leaning yes)

What moved it is the break-out we said to watch for. Sales jumped from the ₹70–75 cr range to ₹87 cr, cancer drugs went from about a third of sales to over half, and EBITDA more than doubled on the year with the plant still only a quarter used. That's a named driver already showing up in profit, with partner and own-licence exports lined up behind it. The risk is mix. A large slice of the oncology jump is API sold to others, which management means to pull back next year. If finished-dose oncology doesn't fill that gap and Q3 lands well short of ₹100 cr, this goes back to MAYBE.

Management consistent? → MAYBE vs last quarter: unchanged

A better quarter for credibility: the H2 pick-up arrived a quarter early, margins held near 30%, debt fell again, and own-licence exports finally have a number attached. But the record is only five calls long, and it already includes a missed FY26 target, a Europe launch that slipped twice, and a 35% margin goal that's now a couple of years further out. The new targets are mostly analysts' numbers that management agreed to. The next report should check whether Q3 reached ~₹100 cr and whether finished-dose exports grew without leaning on API sales.